

2.2 Business Circumstances deteriorate:

- Business conditions deteriorated during COVID19
- Only a few businesses managed to flourish, while most industries saw a significant reduction in their activity and functions, such as restaurants and cinema industry.
- Even though many businesses bounced back to normal, a large number of companies still feel the pain 2 years after COVID. They got into high debt, lost the market and as a result real value was destroyed.
- As a result, when such unforeseen events occur, businesses may not be able to survive and in turn lead to value destruction.

Conclusion

- Losses are an inevitable part of any investor's journey. An investor, who has never incurred loss does not exist. It's a part of the process.
- Value destruction is the opposite of Value creation.
- We also saw the risks we might face while evaluating the real value of any company.
 - Our estimates could be completely incorrect.
 - It is possible that we're being over-optimistic and misinterpreting the facts.
 - The real value can deteriorate after we have bought the stock.

Thus Value Creation is when real value, increases due to an increase in the quantity and quality of earnings. If the true value rises, market value will eventually rise with it.

Now let us have a quick study of the different accounts we need to trade/invest in the stock market.